3 ACCOUNTS RECEIVABLES ANALYSIS

In the previous unit, we discussed **operating working capital**. In this unit, we will break it down further and discuss ***Account Receivables.***

Accounts Receivable Analysis					
Avg Accounts Receivables/ Revenue from Op	12.13%	13.73%	14.08%	14.70%	16.52%
DSO	44.278	50.10092	51.40627	53.66911	60.30783
Bad Debt Written Off/ Average A.R.	0.01%	0.35%	0.20%	0.47%	0.33%
Provision for Bad Debts/ Average A.R.	4.35%	4.22%	5.92%	6.34%	6.47%

Check the financial health of debtors

Compare actual credit terms mentioned by the management or prominent in the industry against actual DSO.

1

Let us begin with the first ratio that we will use when understanding Accounts Receivables.

Average Accounts Receivable / Revenue from Ops

Lower the credit sales of the company as a percentage of sales, generally better it is for the company and the investors. Also, with time, businesses should report lower or stable accounts receivables with respect to sales. It means the ratio should go down over time. However, in our case, the ratio has gone up from **11% to 16% in a few years**, which is not a good sign.

It signifies that the **company's account receivable has increased as a percentage of revenue.** As a result, the company's operating working capital would have increased. We need to understand why this is the case by talking to management or looking for the same in company documents. We can even compare with other companies in same industry to understand this better.